Daily Economic Briefing

Wednesday 14 October 2026 | Window: Mon 12 Oct 2026 20:00 ET – Tue 13 Oct 2026 20:21 ET (Tue 13 Oct close/AH) | Research cutoff 13 Oct 2026, 8:21pm ET | Edition 41

Assumptions, corrections and status this edition

- **Correction:** edition 40's day-ahead catalyst note listed Bank of America and Morgan Stanley among Tuesday's bank-earnings cohort. Both actually report Wednesday 14 October, not Tuesday 13 October — excluded from this edition's earnings coverage; BAC (-1.14%) and MS (-1.78%) traded down Tuesday with no earnings release.[11]
- BoJ's Oct 29–30 meeting date verification was restored to a direct boj.or.jp primary-source fetch this edition, after two editions of secondary-only corroboration.[20]
- zerogex's SPX dealer-gamma feed failed for a second consecutive edition (auth-gated API, blank public page) — now treated as the likely new baseline rather than a one-off.[45]
- Monday 12 Oct's unexplained AI-optics/AI-hardware selloff (AAOI, COHR, LITE, CIEN) found a delayed driver this edition (Broadcom/Intel CEO remarks on AI-capex funding constraints); Fastly remains unexplained for a third straight session.[14][15]
- Investing.com's own historical tables now show Monday 12 Oct's WTI/Brent % change with the opposite sign from what was logged in the prior edition — likely a Columbus Day settlement-data revision; does not affect Tuesday's own clean, vendor-reconciled figures below, flagged for the record.[28][29]
- China's September CPI/PPI remained unreleased as of this edition's cutoff; a direct stats.gov.cn check plus a secondary source now pin the scheduled release to 9:30am Beijing time 14 Oct (approx. 9:21pm ET 13 Oct), essentially right at this window's close.[22][23]

60-second read

1. Equities finished essentially flat and just below last week's records as Q3 earnings season opened: S&P 500 -0.02% to 7,805.45, Dow -0.35% to 51,670.10, Nasdaq Composite -0.15% to 27,204.38, Russell 2000 -0.40% to 2,783.37 — bank beats and misses broadly canceled out.[1]
2. Big banks mostly beat Q3 EPS on a y/y basis (Goldman +38.9%, Citigroup +53%, Wells Fargo +12.7%) but Wells Fargo and Citigroup both sold off hard (-3.10%, -5.60%) despite the beats, alongside sharply higher credit-loss provisions; JPMorgan's EPS rose 9.9% y/y but appears to trail pre-earnings consensus estimates, stock -0.86%.[4][5][6][7]
3. Johnson & Johnson's GAAP EPS collapsed to $0.09 on a one-time talc-settlement charge even as it raised FY26 sales guidance; the stock still fell -5.73%, the day's biggest large-cap decliner. UnitedHealth beat-and-raised but closed flat (-0.20%) on a muted reaction.[8][9]
4. The Bank of Japan's Oct 29–30 meeting date was reconfirmed via a direct boj.or.jp fetch, restoring primary-source verification; Fed Oct 27–28 hike odds ticked up slightly to approx. 19% (from approx. 18% Monday) ahead of Wednesday's Sept CPI, the week's key catalyst.[20][25]
5. Oil diverged by grade (Brent -0.90%, WTI +1.10%) even as Treasury yields eased across the curve (2-yr 4.79%, 10-yr 5.21%, 30-yr 5.56%); Energy (XLE +1.80%) led sector gains while Health Care (XLV -1.35%) lagged on JNJ's slide.[28][29][41]

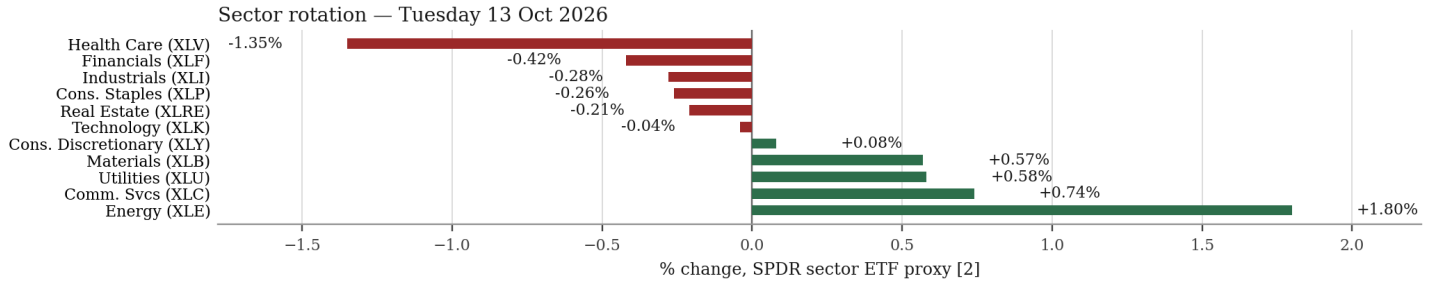
1. Market recap

S&P 500	Dow Jones	Nasdaq Comp.	Russell 2000	VIX	10-Yr Treasury
7,805.45	**51,670.10**	**27,204.38**	**2,783.37**	**15.27**	**5.21%**
-0.02%*	-0.35%*	-0.15%*	-0.40%*	+0.39%	-3bp

WTI Crude	DXY
$94.77	**101.979**
+1.10%	-0.39%

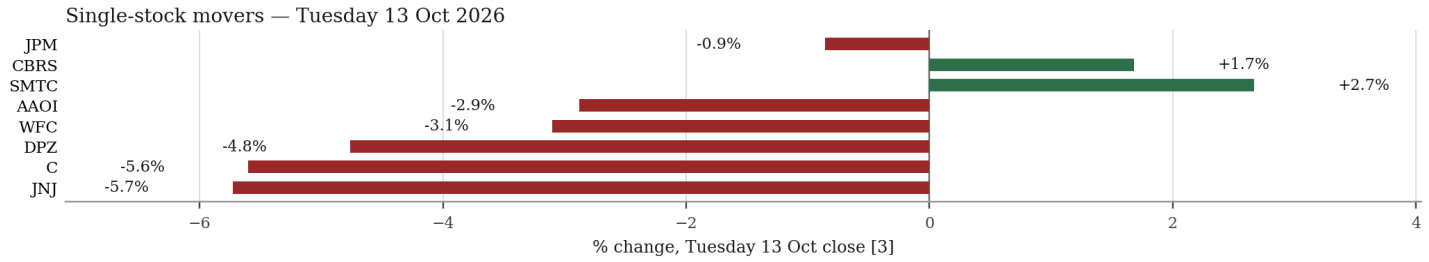
All four major indexes closed within a tight band on Tuesday, down less than half a percent apiece, as the first wave of Q3 bank earnings gave the tape no clear direction — AP's wrap explicitly described gains and losses "canceling each other out."[1] *Index % changes are our own computation off Monday 12 Oct's logged closes (S&P 7,807.24, Dow 51,850.55, Nasdaq 27,245.90, Russell 2,794.48), reconciled against AP's reported point changes and cross-checked via SPY/DIA/QQQ/IWM proxy moves — all consistent, no stale-date issue found.[1][2] Five of eleven SPDR sectors closed green, led by Energy and Communication Services; Health Care was the clear laggard on JNJ's earnings-driven slide.[2]

2. Equities and earnings



Energy (+1.80%), Communication Services (+0.74%), Utilities (+0.58%) and Materials (+0.57%) led; Health Care (-1.35%) and Financials (-0.42%) lagged, both weighed down by earnings-season reactions rather than a broad macro rotation — Technology was essentially flat (-0.04%).[2] Energy's gain sits in tension with Brent crude's -0.90% close; WTI rose +1.10% the same session, so the sector move likely tracks the US-centric grade more closely than the global benchmark — disclosed as a genuine but explainable divergence, not a data error.[2][28][29]

Single-stock movers



Ticker	Move	Driver
JNJ	-5.73%	GAAP EPS $0.09 (talc-settlement charge + Firefly Bio/Sail Biomedicines deal costs) vs. adj. EPS $2.59; FY26 sales guidance raised[9]
C	-5.60%	Q3 EPS $2.85 (+53% y/y) beat, but provision for credit losses approx. $2.6bn; also already weak into the print (-4.6% intraday on 1 Oct amid a broader bank selloff)[7][49]
DPZ	-4.76%	US same-store sales only +0.3%; intl. comps +0.2% ex-FX, op. income +8.3%[10]
WFC	-3.10%	Q3 EPS $1.87 (+12.7% y/y) beat, but provision for credit losses +51% y/y to $1,029mn; also under pressure since a 7 Oct report of a federal inquiry into its homeownership programs[6][48]
AAOI	-2.88%	Stabilizing after Monday's AI-capex-fear selloff (Broadcom/Intel CEO remarks); no fresh Tuesday catalyst found[3][14]
SMTC	+2.67%	Rebound after Monday's selloff; no dated Tuesday-specific news found[3]
CBRS	+1.68%	Rebound; Monday's drop tied to insider Form 144 sales ahead of post-IPO lockup expiry, not a new Tuesday catalyst[3]
JPM	-0.86%	Q3 EPS $5.57 (+9.9% y/y) appears to trail pre-earnings consensus near $5.86–$5.94 across several aggregators — our own computation, not confirmed by a dated beat/miss article[4][12]

Goldman Sachs beat cleanly (Q3 EPS $17.01 vs. a Zacks-cited preview near $12.90, revenue $18.68bn vs. approx. $16.87bn) and closed near-flat (-0.23%); AP noted the stock "swung between gains and losses" intraday.[5][13][1] UnitedHealth beat and raised its FY26 adjusted EPS floor to $20.50 from $19.50–20.00 (adj. EPS $4.69 vs. a $4.10 consensus) but closed only -0.20%, a muted reaction possibly tempered by a $610mn favorable prior-period reserve development inflating the quarter's medical-care ratio to 88.4% — a one-time-style item.[8] COHR (+0.68%) and LITE (-0.75%) and CIEN (-1.14%) were broadly flat-to-mixed Tuesday, consistent with stabilization rather than a fresh catalyst, after MarketWatch and other coverage tied Monday's sharp selloff in the optics/photonics complex to Broadcom CEO Hock Tan's remarks on capital-access constraints limiting AI infrastructure expansion, with Intel's CEO separately flagging higher borrowing costs and AI-return uncertainty.[3][14][15][16] Fastly (+2.50% Tuesday to $27.09) remains the one name in that cluster with no driver found for either Monday's +15.86% spike or its subsequent moves, now a third consecutive session unexplained.[3]

No analyst action dated specifically to 13 October could be independently confirmed for any name despite a genuine search — the low-yield pattern seen in several recent editions continued. Bumble (BMBL) jumped +56.58% to $5.95 Tuesday with no dated news found to explain it; given the magnitude, a stock-split or similar corporate-action artifact cannot be ruled out, so it is excluded from the chart/table above and carried in Annex A rather than reported as a verified move.[3]

3. Macro, policy and rates

Standing facts re-verified fresh and unchanged: Kevin Warsh remains Fed Chair (an eleventh straight direct re-confirmation against the Board of Governors bios page); the next FOMC meeting is Oct 27–28, 2026 (decision/press conference 2:30pm ET Oct 28), followed by Dec 8–9; the Bank of England's next decision is Thursday 5 November 2026; and the federal government remains funded through 11 December 2026 under H.R. 6500, with no new shutdown/CR news found in a direct whitehouse.gov briefing-room fetch.[17][18][19][21] The Bank of Japan's Oct 29–30 next-meeting date (approx. 1.25% policy rate) was reconfirmed this edition via a direct, successful boj.or.jp plain-text fetch of its MPM schedule page — restoring the stronger primary-source verification standard after two editions relying on secondary corroboration only.[20]

Fed rate-path odds firmed modestly hawkish for a second straight edition: DeFi Rate's Kalshi/Polymarket-blended aggregator, snapshot Tuesday 13 Oct 8:21pm ET, showed October 27–28 hike odds approx. 19% (hold approx. 81%, cut approx. 2%) and December 8–9 hike odds approx. 75–77%, both little-changed to marginally firmer versus Monday's approx. 18%/75% read.[25] Direct fetches of both Kalshi and CME FedWatch again failed (Kalshi 404/429, FedWatch timed out) — a fifth-plus consecutive edition for this standing gap.[26][27] No US trade/tariff news was found dated specifically to 13 October; this is an absence of coverage found, not a confirmed absence of any such news.

China's September CPI/PPI had still not posted as of a direct stats.gov.cn fetch (latest data remains August: CPI +0.8% y/y, PPI +3.8% y/y); a secondary source now specifies a scheduled release of 9:30am Beijing time 14 October, which converts to approx. 9:21pm ET 13 October — essentially right at this edition's research cutoff, so the print was not yet available to report.[22][23] September US CPI is due Wednesday 14 October 8:30am ET per a direct bls.gov schedule fetch, the week's key macro catalyst directly ahead of the Oct 27–28 FOMC meeting; September PPI follows Thursday 15 Oct and import/export price indexes Friday 16 Oct, both reconfirmed on the same schedule page.[24]

4. Commodities and FX

Instrument	Level	Chg	Note
WTI crude (Nov '26/CLX6)	$94.77	+1.10%	Matches vendor and our own recompute off Monday's $93.74 close[28]
Brent crude (Dec '26/LCOZ6)	$105.69	-0.90%	Matches vendor and our own recompute off Monday's $106.65 close[29]
Henry Hub nat. gas (Nov '26/NGX6)	$3.319/MMBtu	+4.80%*	*Vendor revised Monday's close to $3.167 after the fact; off this report's previously-logged $3.180 base the change computes to +4.37% instead — both disclosed, not resolved[30]
Gold futures	$4,178.05/oz	-0.30%	Clean match vs. Monday's $4,190.60 close[31]

Gold spot (XAU/USD)	$4,155.20/oz	-0.40%	Clean match; Kitco secondary $4,158.40, approx. $3/oz vendor noise[32][33]
Silver futures	$59.185/oz	-2.19%	Clean match vs. Monday's $60.513 close[34]
Silver spot (XAG/USD)	$58.986/oz	-2.24%	Clean match; Kitco secondary $58.99, near-exact[35][33]
Copper (LME cash)	$14,741.00/tonne	-0.55%	Self-computed (Westmetall discloses no vendor % field); Monday's logged $14,822.00 base matched exactly[36]
DXY	101.979	-0.39%	Clean match vs. Monday's 102.375 close[37]
EUR/USD	1.1201	+0.41%	Clean match[38]
GBP/USD	1.3258	+0.37%	Clean match[39]
USD/JPY	158.32	-0.20%	Same direction as DXY (dollar weaker both) — divergence pattern paused for a third straight session[40]

All commodity and FX %-changes above are computed directly off this report's own logged prior close, per standing practice, with the vendor's own stated change shown where it matches.[28][29][30][31][32][34][35][37][38][39][40] Separately, Investing.com's historical tables now show Monday 12 Oct's own WTI (+2.06%) and Brent (+1.84%) changes with the opposite sign from what was logged in the prior edition (-0.92%/-0.86%) — most likely a post-hoc settlement-data revision tied to Monday's Columbus Day holiday session; this does not affect Tuesday's own figures, which reconcile cleanly either way, but is flagged as a data-quality note.[28][29] Treasury yields eased modestly across the curve on the first fresh print since Friday (Monday's cash market was shut for Columbus Day): 2-year 4.79% (-1bp vs. Friday's 4.80%), 10-year 5.21% (-3bp vs. 5.24%), 30-year 5.56% (-4bp vs. 5.60%). The Treasury's TextView and CSV endpoints matched exactly this edition, with no repeat of the cross-endpoint gap seen in prior months; Trading Economics' secondary 10-year read (5.22%, dated into Wednesday) corroborated within normal next-session drift.[41][42][43]

5. Derivatives, volatility and positioning

CBOE's delayed-quotes feed gave a clean, fresh sweep with both of its known calculation bugs (duplicated prior close; percent-change dividing by the wrong base) absent again — our manual recompute matched the feed's own percent field on all six series: VIX 15.27 (+0.39%), VIX9D 11.99 (+2.65%), VIX3M 17.96 (+0.17%), VIX6M 19.92 (-0.15%), VVIX 85.38 (-0.64%), SKEW 154.74 (-0.21%), all timestamped 13 Oct.[44] The VIX9D-vs-VIX front-end inversion narrowed to -3.28 from Monday's -3.53, a mild normalization rather than a reversal. zerogex's SPX dealer-gamma read failed for a second straight edition — the direct API again returned an authentication-required error and the public page showed no live figures or timestamp at all; no usable SPX gamma figure, not even a stale one, was available this edition, reinforcing rather than resolving the new failure mode first seen Monday.[45] A genuine but brief search turned up no verifiable options-flow or skew commentary dated 13 October for either the reporting banks or the AI-hardware complex (Cerebras, Semtech, Ciena, Fastly, Applied Optoelectronics, Coherent, Lumentum) — this sub-item remains reliably low-yield.

No fresh CFTC Commitments of Traders data fell in this window, as expected — confirmed directly against cftc.gov's own release schedule; the next report posts Friday 16 October, covering Tuesday 13 October positioning.[46] SOFR funding: the overnight fixing effective 9 October posted at 3.87% (unchanged in level, but only reaching publication Tuesday because Monday's Columbus Day closure delayed it); Tuesday's own (13 Oct) fixing had not yet posted as of this edition's cutoff and is expected around 8am ET Wednesday — the funding-data gap flagged Monday has only partially closed.[47]

6. The day ahead

Date	Event	Consensus / context
Wed 14 Oct, 8:30am ET	September CPI (headline & core)	Week's key macro print, directly ahead of the Oct 27–28 FOMC meeting[24]
Wed 14 Oct, before open	Bank of America, Morgan Stanley Q3 earnings	Did not report Tuesday as previously expected; next read on the credit-provision trend that hit WFC/Citi[11]
Wed 14 Oct, approx. 9:21pm ET	China September CPI/PPI	Scheduled 9:30am Beijing time 14 Oct, just after this window's cutoff[22][23]
Thu 15 Oct, approx. 2:00am ET	TSMC Q3 2026 earnings call	Watch ADR vs. local-share EPS basis given past currency/share-count consensus mismatches
Thu 15 Oct, 8:30am ET	September PPI	[24]
Fri 16 Oct, 8:30am ET	Import/export price indexes	[24]
Fri 16 Oct	CFTC Commitments of Traders	Covers Tuesday 13 Oct positioning data[46]
Tue–Wed 27–28 Oct	FOMC decision + press conference	Hike odds approx. 19% per DeFi Rate's blended aggregator[25]
Thu–Fri 29–30 Oct	Bank of Japan policy meeting	Primary-sourced this edition via direct boj.or.jp fetch[20]
Thu 5 Nov	Bank of England decision	Re-confirmed directly against bankofengland.co.uk[19]

Sector setup we take into Wednesday's session

- Energy led Tuesday (XLE +1.80%) even as Brent eased -0.90%; watch whether that grade-specific divergence persists or Energy fades toward Brent's softer tone.
- Financials (XLF -0.42%) absorbed mixed bank reactions; BAC and MS report Wednesday before the open, the next test of the credit-provision trend that hit WFC and Citi.
- Health Care (XLV -1.35%) was Tuesday's weakest sector on JNJ's GAAP-EPS-driven slide; no other major health-care print is scheduled before Wednesday's open.
- The AI-hardware/photonics cluster (COHR, LITE, CIEN, AAOI, SMTC, CBRS) broadly stabilized after Monday's capex-fear selloff found a delayed driver; Fastly is the lone name in that group still unexplained into a third session.
- Rates eased modestly across the curve ahead of Wednesday's Sept CPI; a soft print would reinforce this week's slightly firmer Oct-hike-odds drift, a hot one could reverse it quickly.

Annex A — Data points sought but not verified this edition

- Bumble (BMBL) +56.58% to $5.95 Tuesday — no dated news found explaining the move; magnitude warrants a stock-split/corporate-action check, none found but not positively ruled out either; excluded from the body.
- JPMorgan's EPS-vs-consensus "miss" framing is our own arithmetic comparison against pre-earnings aggregator estimates, not confirmed by a dated post-earnings article.
- Wells Fargo/Citigroup sell-despite-beat rationale (rising credit-loss provisions) is inferred from the primary 8-K filings, not confirmed by a dated news article tying the stock reaction to that specific cause.
- China's September CPI/PPI print itself — not released as of this edition's 8:21pm ET cutoff; only the scheduled release time was confirmed.
- No US tariff/trade news could be found dated specifically to 13 October — an absence of coverage found, not a confirmed absence of any such news.
- Options-flow/skew commentary for the reporting banks or the AI-hardware complex — no verifiable, dated coverage found despite a genuine search.
- Henry Hub's Tuesday % change is ambiguous between +4.80% (vendor's post-hoc-revised Monday base) and +4.37% (this report's previously-logged Monday base) — unresolved which base is correct.
- Investing.com's retroactive sign-flip on Monday 12 Oct's WTI/Brent % change (now +2.06%/+1.84% vs. this report's logged -0.92%/-0.86%) — a likely Columbus Day settlement-data revision, not independently adjudicated.
- Fastly's driver for Monday's +15.86% spike and subsequent moves — still not found after a third consecutive session's search.
- Tuesday's (13 Oct effective) SOFR fixing — not yet posted as of this edition's cutoff; expected approx. 8am ET Wednesday.

Annex B — Sources

- [1] AP, "How major US stock indexes fared Tuesday," via wtop.com/krmg.com syndication, 13 Oct 2026
- [2] stockanalysis.com, SPDR Select Sector ETF price-history pages, 13 Oct 2026
- [3] stockanalysis.com, single-stock closing-price history pages, 13 Oct 2026
- [4] JPMorgan Chase & Co., Q3 2026 earnings release/8-K, SEC EDGAR, 13 Oct 2026
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- [6] Wells Fargo & Co., Q3 2026 earnings release/8-K, SEC EDGAR, 13 Oct 2026
- [7] Citigroup Inc., Q3 2026 earnings release/8-K, SEC EDGAR, 13 Oct 2026
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- [10] Domino's Pizza Inc., Q3 2026 earnings release/8-K, SEC EDGAR, 13 Oct 2026
- [11] Bank of America and Morgan Stanley investor-relations earnings calendars, confirming Wed 14 Oct report date
- [12] Pre-earnings JPM consensus previews (Hudson Labs, MarketBeat, TickerLeague aggregated estimates)
- [13] Pre-earnings GS consensus preview (Zacks-cited estimate)
- [14] MarketWatch, "Why Ciena, Lumentum and other optical stocks were among the market's biggest losers on Monday," 12 Oct 2026
- [15] TradingView/Stocktwits recap of the AI-optics/AI-capex selloff, 12 Oct 2026
- [16] 247wallst.com session-movers recap, 12 Oct 2026
- [17] federalreserve.gov, Board of Governors biographies page
- [18] federalreserve.gov, FOMC meeting calendar page
- [19] bankofengland.co.uk, upcoming MPC decision dates page
- [20] boj.or.jp, Monetary Policy Meeting schedule page (direct fetch)
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- [26] Kalshi, direct fetch attempt (404/429, failed)
- [27] CME FedWatch, direct fetch attempt (timed out)
- [28] Investing.com, WTI crude oil historical data
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- [30] Investing.com, natural gas (Henry Hub) historical data
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- [45] zerogex.io, direct API/page fetch (authentication required / blank page)
- [46] cftc.gov, Commitments of Traders release-schedule page
- [47] New York Fed Markets Data API, SOFR rates
- [48] Bloomberg, Wells Fargo federal-inquiry report, via Barchart/BGov, 7 Oct 2026
- [49] TIKR, Citigroup 1 Oct bank-selloff recap

Method: every figure traces to a named source in Annex B; where sources disagreed, the better-corroborated figure was used and the conflict disclosed. Nothing estimated or filled from memory — unverifiable items are listed in Annex A. Not investment advice.